Question 1

Question ID: 1575117

A U.S. corporation issues a $1 million floating-rate note (FRN) that pays interest equal to the three-month MRR plus 180 bps. The interest is paid on a quarterly basis. If the three-month MRR is –0.20%, the coupon interest payable on the corporation's FRN for the quarterly period is *closest* to:

A) $4,000.

B) $5,000.

C) $16,000.

Explanation

The FRN coupon comprises MRR plus the issuer-specific spread.

For this question, keep in mind that interest rates are always quoted on an annualized basis, even when interest is paid more frequently.

FRN coupon = MRR + spread = –0.20% + 1.80% = 1.60%.

Annual interest = principal × FRN coupon = $1,000,000 × 1.60% = $16,000.

Quarterly interest = $16,000 / 4 = $4,000. (Module 49.1, LOS 49.a)

Related Material

SchweserNotes - Book 4

Question 2

Question ID: 1575118

An institution is *most likely* to be restricted from investing in which of the following fixed income classifications?

A) High yield.

B) Index-linked.

C) Floating-rate.

Explanation

High yield bonds are those that are classified as non-investment grade. Some institutions are restricted from investing in this sector of the fixed income market. (Module 51.1, LOS 51.a)

Related Material

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Question 3

Question ID: 1575119

In a repurchase agreement, the repo rate is likely to be higher:

A) if delivery to the lender is required.

B) when the quality of the collateral is high.

C) for longer-dated repos.

Explanation

The repo rate tends to be higher for longer-dated repos than for shorter-dated repos. High quality collateral or delivery of the collateral reduces the repo rate. (Module 52.1, LOS 52.b)

Related Material

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Question 4
Question ID: 1575120

Annual-pay yields of annual-coupon sovereign bonds are as follows:

Maturity and Coupon	Yield to Maturity
1-year, 5% coupon	2.342%
1-year, 0% coupon	2.350%
2-year, 5% coupon	2.496%
2-year, 0% coupon	2.500%
3-year, 5% coupon	2.711%
3-year, 0% coupon	2.725%

The 3-year, 5% annual coupon bond is *most likely*:

A) overvalued.

B) undervalued.

C) fairly valued.

Explanation

The price of the 3-year coupon bond (as a percentage of par) is:

N = 3; I/Y = 2.711; PMT = 5; FV = 100; CPT → PV = –106.51

The no-arbitrage price of the 3-year coupon bond based on spot (zero-coupon) rates is:

$$\frac{5}{1.02350}+\frac{5}{(1.02500)^2}+\frac{105}{(1.02725)^3}=106.51$$

Because the 3-year coupon bond's price equals its no-arbitrage value, the bond is fairly valued. (Module 57.1, LOS 57.a)

Related Material

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Question 5

Question ID: 1575121

A bank loan department is trying to determine the correct rate for a 2-year loan to be made two years from now. If current implied Treasury effective annual spot rates are 1-year = 2%, 2-year = 3%, 3-year = 3.5%, and 4-year = 4.5%, the base (risk-free) forward rate for the loan before adding a risk premium is *closest* to:

A) 4.5%.

B) 6.0%.

C) 9.0%.

Explanation

The forward rate is $[1.045^4 / 1.03^2]^{1/2} - 1 = 6.02\%$, or use the approximation $[4.5(4) - 3(2)] / 2 = 6$.

(Module 57.1, LOS 57.b)

Related Material

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Question 6

Question ID: 1575122

An investor in longer-term coupon bonds who has a short investment horizon is *most likely*:

A) more concerned with market price risk than reinvestment risk.

B) more concerned with reinvestment risk than market price risk.

C) equally concerned about market price risk and reinvestment risk.

Explanation

Over a short investment horizon, an increase in interest rates is likely to decrease the return on a coupon bond because the decrease in price more than offsets the increase in reinvestment income. Over a long investment horizon, a decrease in interest rates is likely to decrease the return on a coupon bond because the decrease in reinvestment income more than offsets the increase in price. Therefore, an investor with a short horizon is more concerned with market price risk and an investor with a long horizon is more concerned with reinvestment risk. (Module 58.1, LOS 58.b)

Related Material

SchweserNotes - Book 4

Question 7

Question ID: 1575123

Which of the following bonds would appreciate the *most* if the yield curve shifts down by 50 basis points at all maturities?

A) 4-year 8%, 8% YTM.

B) 5-year 8%, 7.5% YTM.

C) 5-year 8.5%, 8% YTM.

Explanation

The bond with the highest duration will benefit the most from a decrease in rates. The lower the coupon, the lower the yield to maturity, and the longer the time to maturity, then the higher the duration will be. (Module 59.1, LOS 59.b)

Related Material

SchweserNotes - Book 4

Question 8

Question ID: 1575124

An estimate of the increase in an option-free bond's price, based only on its duration:

A) will be too small.

B) will be too large.

C) may be either too small or too large.

Explanation

Duration is a linear measure, but the relationship between bond price and yield for an option-free bond is convex. For a given decrease in yield, the estimated price increase using duration alone will be smaller than the actual price increase. (Module 60.1, LOS 60.b)

Related Material

SchweserNotes - Book 4

Question 9

Question ID: 1575125

Suppose you are analyzing Gefährlich AG's unsecured debt. You estimate a loss given default (LGD) of 70% and a probability of default (POD) of 3%. You use this data to estimate the annual credit spread and then observe an actual credit spread of 150 bps per year. For assuming Gefährlich's credit risk, it would be *most accurate* to state that an investor is being:

A) less-than-fairly compensated.

B) fairly compensated.

C) more-than-fairly compensated.

Explanation

Based on our calculations, an investor is being less-than-fairly compensated for assuming Gefährlich's credit risk. Because POD × LGD = 3% × 70% = 2.10% and the credit spread is 1.50%, the credit spread < POD × LGD. (Module 62.1, LOS 62.a)

Related Material

SchweserNotes - Book 4

Question 10

Question ID: 1575126

Three companies in the same industry have exhibited the following average ratios over a 5-year period:

5-Year Averages	Alden	Barrow	Collison
Operating margin	13.3%	15.0%	20.7%
Debt/EBITDA	4.6×	0.9×	2.8×
EBIT/interest	3.6×	8.9×	5.7×
FFO/debt	12.5%	14.6%	11.5%
Debt/capital	60.8%	23.6%	29.6%

Based only on the information given, the company that *most likely* has the highest credit rating is:

A) Alden.

B) Barrow.

C) Collison.

Explanation

Four of the five credit metrics given indicate that Barrow should have the highest credit rating of these three companies. Barrow has higher interest coverage and lower leverage than either Alden or Collison. (Module 64.1, LOS 64.b)

Related Material

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Question 11

Question ID: 1575127

Coyote Corporation has an issuer credit rating of AA, but its most recently issued bonds have an issue credit rating of AA–. This difference is *most likely* due to the newly issued bonds having:

A) been issued as senior subordinated debt.

B) been affected by restricted subsidiary status.

C) additional covenants that protect the bondholders.

Explanation

The issuer's corporate family rating (CFR) is AA, while the bond's corporate credit rating (CCR) is lower, AA–. One possible reason for this notching difference is that the bond may have a lower seniority ranking. CFR ratings are based on senior unsecured debt. If the newly issued bond is a senior subordinated debt, it has a lower priority of claims and hence a lower rating. Restricted status would affect both CFR and CCR. Additional covenants that protect bondholders would enhance the issue's CCR. (Module 64.1, LOS 64.c)

Related Material

SchweserNotes - Book 4

Question 12

Question ID: 1575128

Nonconforming mortgage loans may be securitized by:

A) government-sponsored enterprises, but not by private companies.

B) private companies, but not by government-sponsored enterprises.

C) neither private companies nor government-sponsored enterprises.

Explanation

Nonconforming mortgages are those that do not meet the requirements to be included in agency RMBS such as those issued by government-sponsored enterprises. Private companies may securitize nonconforming mortgages. (Module 67.1, LOS 67.b)

Related Material

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